

Low-Cost REIT Mutual Funds

Equity REIT Index Funds	Symbol	Benchmark
Vanguard REIT Index Fund*	VGSIX	Morgan Stanley REIT Index
iShares Dow Jones U.S. REIT	IYR	Dow Jones U.S. REIT Index
SPDR Wilshire REIT	RWR	Wilshire REIT Index

*The Vanguard REIT ETF symbol is VNQ.

CHAPTER SUMMARY

Adding asset classes that have low or varying correlations to a portfolio reduces total portfolio risk and increases long-term return. Real estate is one of the few asset classes that has low correlation with bonds and varying correlation with stocks. A well-diversified portfolio that holds real estate investments alongside stock and bond investments has proved to be a more efficient portfolio than one that does not include real estate investment.

There are many ways to invest in the commercial real estate market; however, equity REITs are the most liquid and convenient way. Equity REITs are portfolios of apartments, hotels, malls, industrial buildings, and other rental property that trade on a stock exchange. Several low-cost REIT index funds that give you instant diversification across the entire REIT market are available.

In addition to investing in commercial real estate, make your home an investment. Traditionally, home prices have kept pace with the inflation rate and have outpaced inflation during a falling interest-rate environment. Pick your location carefully. Every town and city has areas that will appreciate more than others, and there are some areas of the country where home prices may not appreciate because there's no job growth.

NOTE

¹Elroy Dimson, "A Perspective on Long-Term Real Estate Returns: United States," *Brandes Institute Journal*, April 2004, no. 1: 72–89.